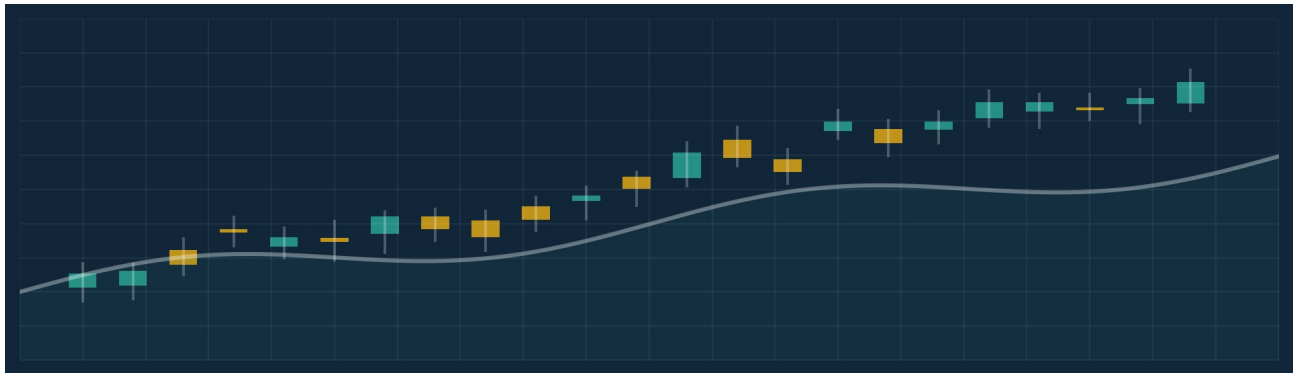


Trade Setup Grading & Trader Development Framework

A comprehensive outline for building traders from beginner through expert level

Grade setups. Size with discipline. Review like a desk.



Selection	Risk	Improvement
Focus on fewer, higher-quality ideas	Size from stop distance and risk budget	Use journals, metrics, and playbooks

Educational outline • April 2026

How to use this guide

This document is designed as a decision framework rather than a prediction service. The central idea is simple: not every valid trade deserves equal attention, equal size, or equal confidence.

- Start at your current level. Beginners should not copy expert tactics before they can execute a simple setup, risk formula, and review process consistently.
- Use the framework to build one written playbook at a time. Mastery compounds faster when the battlefield is small and well-defined.
- Treat every section as a checklist for process quality. The goal is not to find more trades; it is to make cleaner decisions.
- All examples are schematic and educational. Instrument mechanics, taxes, margin rules, and broker policies differ, so verify the current rules that apply to you before trading live.

Note: This is educational material, not financial, legal, or tax advice. Leverage can magnify losses. Use only risk capital, trade the smallest reasonable size until you have data, and verify the current product and broker rules for the markets you trade.

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1. One-page TL;DR

TL;DR A trader develops by becoming more selective, more precise with risk, and more rigorous in review. The job is not to predict every move; the job is to identify where your edge is most likely to exist, size it responsibly, and then learn from the evidence.

Core principle	What it means in practice
Market context	Ask what environment you are in before you ask what setup you see. Trend, range, volatility, liquidity, and news all change expectancy.
Setup quality	Grade every trade idea before entry. A trade can be valid and still be too weak to deserve full size or even a trade at all.
Risk	Size from risk budget and stop distance. Confidence is not a position sizing model.
Execution	Separate the setup from the trigger. Enter where the thesis becomes actionable, not where emotion becomes intense.
Management	Know in advance how you will exit: stop, target, time stop, and conditions for scaling out or letting it run.
Review	Journal decisions, not only outcomes. A good trade can lose, and a bad trade can win.
Progression	Beginners need simplicity, intermediates need measurement, and experts need conditional edge, portfolio awareness, and research discipline.

Beginner → Intermediate → Expert

Beginner focus

- Survive first: learn vocabulary, order types, one setup family, one market or very small universe, and a small fixed risk.
- Use simulation or the smallest size available until execution and journaling are consistent.
- Aim for clean rule-following, not cleverness.

Intermediate focus

- Build a grading rubric, regime filter, written playbook, and 20–100 trade review loops.
- Measure expectancy, average win/loss, time-of-day performance, and mistake frequency.
- Only consider nuanced position sizing after the data supports it.

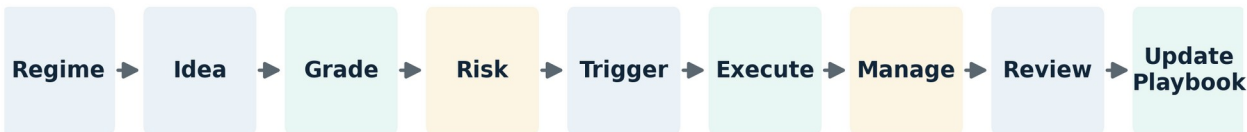
Expert focus

- Think conditionally: which setups work in which environments, with what liquidity, and at what size.
- Manage portfolio heat, execution quality, and drawdown protocols like a business.
- Run an ongoing research loop that validates, scales, or retires playbooks.

2. The core framework and development ladder

TL;DR Desk-style trading is an operating system: context first, idea second, risk before execution, and review after every batch of trades.

The desk-style loop: context first, execution second, review always



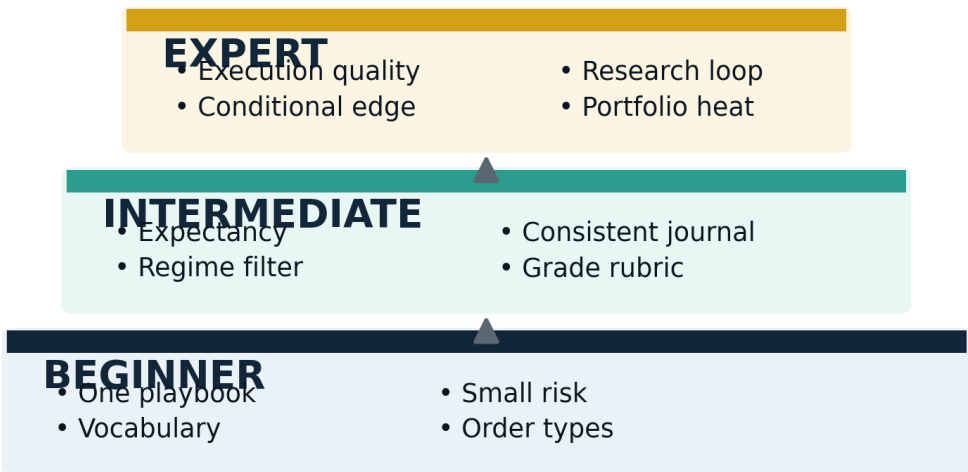
The core idea: not every valid setup deserves equal attention or equal size.

A simple operating loop for active traders.

The framework can be summarized in eight linked decisions:

1. Read the regime: trend or range, quiet or expanding, liquid or sloppy, scheduled catalyst or none.
2. Generate the idea: identify the specific setup family you are watching.
3. Grade the setup: score quality before you think about size.
4. Allocate risk: decide whether the idea deserves flat size, reduced size, or no trade at all.
5. Wait for a trigger: enter only when price confirms the thesis in your plan.
6. Execute cleanly: choose order type and route behavior appropriate for liquidity and urgency.
7. Manage and exit: use predefined stop, target, time stop, and structure-based management rules.
8. Review and update: archive the trade, tag it, and convert recurring observations into playbook improvements.

Trader development is not about trading more.
It is about better selection, cleaner risk, and tighter feedback loops.



The progression from beginner to expert is mostly a progression in process quality.

3. Choose your battlefield: instruments, complexity, and starting point

TL;DR Most new traders improve faster by mastering one liquid instrument or a very small universe. Complexity is not edge. Precision is edge.

Use the table below as a practical complexity ladder rather than a rulebook. The best starting point is usually the product whose mechanics you can explain clearly, risk small, and review consistently.

Instrument	Why traders like it	What can hurt you	Best use by level
Stocks / ETFs	Straightforward structure, liquid names, easier chart reading for many beginners	Gap risk, news shocks, spread in thin names, margin misuse	Strong beginner starting point if liquidity is high and size is small
Micro futures	Efficient index exposure, clear session structure, good for disciplined intraday execution	Leverage, fast P&L swings, overnight/session risk, exchange-specific mechanics	Better after basic risk control is understood
Options	Flexible directional and hedging structures, defined-risk spreads possible	Greeks, decay, volatility, assignment/exercise, approval requirements	Intermediate to expert unless using very simple defined-risk structures
Spot forex / CFDs	24-hour access, macro-driven flows, clean trending phases at times	Broker differences, leverage, rollover, product-specific costs	Not ideal for a brand-new trader without strong process controls
Crypto	24/7 market, high volatility, many opportunities to practice structure reading	Very high volatility, venue quality differences, funding rates / liquidation on derivatives	Spot only and small size for beginners; derivatives are advanced

A practical beginner starting point:

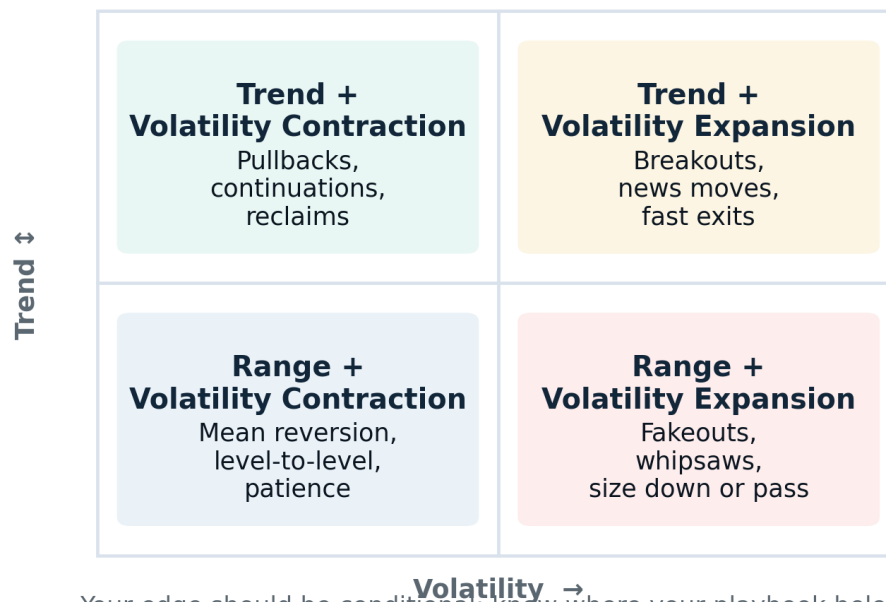
- One liquid benchmark product (for example, a major index ETF, a single liquid equity universe, or a micro futures contract you thoroughly understand).
- One timeframe stack (for example, higher timeframe for context and one execution timeframe for entries).
- One or two setup families only.
- One journal format used every single day.

Regulatory and product reminder: order types, derivative disclosures, and margin mechanics matter. Leveraged products can magnify losses and some products involve assignment or additional obligations.¹²³⁴⁵

4. Market context and regime reading

TL;DR A strong setup in the wrong regime often behaves like a weak setup. Context filters opportunity and protects you from forcing trades in bad conditions.

Market Regime Map



Your edge should be conditional: know where your playbook belongs.

A simple regime map. Your playbook should tell you which quadrant you want to be in.

Beginner lens

- Learn the basic question first: is price trending, ranging, or chopping? If you cannot answer that clearly, the setup grade should usually go down.
- Know the session you trade, the high-impact news windows you avoid, and the instruments that are liquid enough for your size.
- Mark obvious higher-timeframe levels, opening range, and one or two reference tools only (for example, prior day high/low, VWAP, swing levels, or an important moving average).
- Trade liquid markets with clean spreads before experimenting with exotic tickers or thin venues.
- If you are brand-new, pass on markets that are moving so fast that you cannot define the stop before entry.

Intermediate lens

- Create a written regime map: trend + contraction, trend + expansion, range + contraction, range + expansion.
- Tag every trade by regime and measure where each setup family performs best.
- Use relative strength / weakness, sector or benchmark context, relative volume, and time-of-day tendencies to improve selection.
- Separate context from trigger: a bullish context does not mean every bullish candle is an entry.
- Notice where your setup fails: midday drift, post-news noise, gap-and-fade days, low-liquidity tape, or late-stage trend exhaustion.

Expert lens

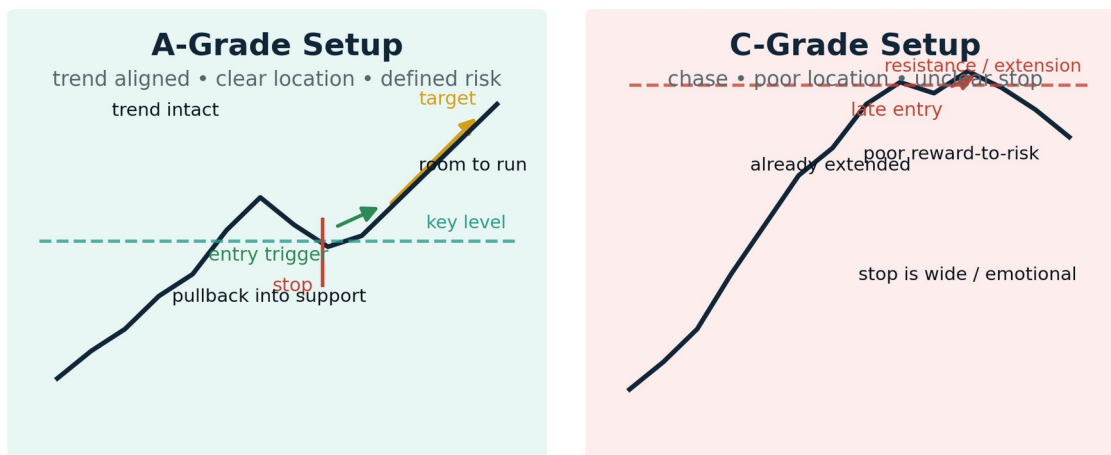
- Build conditional expectancy by regime, instrument class, catalyst type, and execution window.
- Treat liquidity, spread, market depth, and adverse selection as part of the setup, not as afterthoughts.
- Use cross-asset clues where relevant: index breadth, rates, FX, volatility indices, sector leadership, or correlated product behavior.
- Maintain a “do not trade” list of environments that statistically damage your edge, even if they feel exciting.
- Use rolling performance windows to detect when the market has changed enough that the playbook or size assumptions need to be adjusted.

Common regime-reading mistakes

Mistake	Why it hurts	Better response
Trading every breakout	Breakouts in range-expansion chop can turn into instant fakeouts	Require context plus trigger plus room-to-target
Ignoring liquidity	Wide spreads and thin books distort stop placement and fills	Use liquid names/products until your size and skill justify otherwise
Treating every trend day the same	Early trend continuation and late exhaustion are not the same environment	Measure time-of-day and distance-from-origin effects

5. Setup grading and confluence

TL;DR Setup grading turns “this looks good” into “this meets my criteria.” It gives structure to attention, patience, and eventually position sizing.



A schematic comparison: a high-quality setup is usually better located, easier to invalidate, and has more room to target.

Beginner lens

- Define one or two setup families only. Examples might include a trend pullback continuation, a level reclaim, or an opening-range breakout. Do not grade a setup that you have not defined.
- Use a simple A / B / C rubric. An A setup is aligned, well-located, and easy to invalidate. A B setup is tradable but missing something important. A C setup is curiosity, chase, or hope.
- Hard-fail any trade with an unclear stop, poor liquidity, major news immediately ahead, or a trigger that occurs far away from the level you planned.
- Flat size is usually best while you are still learning what your grades actually mean in live or simulated data.
- Do not upgrade a setup because you are bored, behind on the day, or afraid of missing out.

Intermediate lens

- Convert the checklist into a weighted score so that not all factors count equally.
- Prefer independent confluences. For example, trend alignment, location, and relative volume tell you different things; three oscillators often repeat the same information.
- Track results by grade. The goal is to learn what A, B, and pass really mean for your strategy — not what social media says they mean.
- Create clear pass conditions. Many traders document entries but fail to document when a setup must be skipped.
- Review grade drift: after winning streaks traders often overgrade; after drawdowns they often undergrade or stop taking valid A setups.

Expert lens

- Use playbook-specific scoring. The factors that matter for a pullback continuation may differ from those that matter for a failed-breakdown reversal.
- Calibrate any size differences by grade only after enough sample size and drawdown review. Data should justify aggression, not conviction alone.
- Watch for overfitting. A perfect scorecard with too many conditions may describe the past beautifully while trading the future poorly.
- Separate decision quality from outcome quality. A correct grade on a losing trade is still useful; an incorrect grade on a winner is still dangerous.
- Maintain a process audit: are the grades stable across time, or are you unconsciously changing the definition of “A” after each hot or cold streak?

Sample grading rubric (illustrative)

Factor	Question	Weight
Trend / context alignment	Does the idea fit the higher-timeframe and session context?	20
Location	Is price interacting with a meaningful level rather than extended away from it?	15
Trigger quality	Is there a clean break, reclaim, pullback hold, or failure pattern?	15
Invalidation clarity	Is the stop obvious, logical, and not too wide for the setup?	15
Room to target	Is there enough space for acceptable reward-to-risk after costs?	15
Liquidity / spread	Can the trade be entered and exited cleanly for your size?	10
Time / catalyst fit	Is the setup happening in the right session window and not directly into avoidable event risk?	10

Note: One practical rule: beginners often do best with flat size and a “pass unless clearly A” approach. Intermediate and expert traders can add size nuance later, but only after grade statistics prove that the grade means something.

6. Entries, order types, and execution

TL;DR A setup is the reason. A trigger is the moment. Execution is the craft of getting in without donating edge to emotion, slippage, or poor order choice.

Execution basics that every trader should know:

- Market orders prioritize execution, not a guaranteed price. ¹
- Limit orders prioritize price, but the market does not owe you a fill. ¹
- Stop orders trigger into market orders when the stop price is reached; stop-limit orders add price control but can miss execution. ²

Beginner lens

- Define the entry in advance. “I will enter if price reclaims this level” is tradable; “I will see how it feels” is not.
- Enter where your thesis becomes actionable, not after the move has already extended so far that your stop becomes awkward.
- Prefer liquid instruments and small size so the mechanics of your order type are easy to understand.
- Predefine stop, target, and “no trade” conditions before you click.
- If you consistently chase late, the problem is usually not entries alone; it is poor waiting rules.

Intermediate lens

- Separate setup from trigger: breakout, reclaim, pullback hold, failed breakdown, or opening-range break are different trigger families with different fill behavior.
- Track slippage and missed fills. Some traders “have an edge” only on screenshots because implementation costs quietly absorb it.
- Use time stops when the trade should work quickly. A breakout that stalls for too long often morphs into a different trade.
- Know when you are paying the spread for information versus getting filled passively with no confirmation.
- Measure whether your best entries happen on first touch, second touch, pullback, or confirmation bar close.

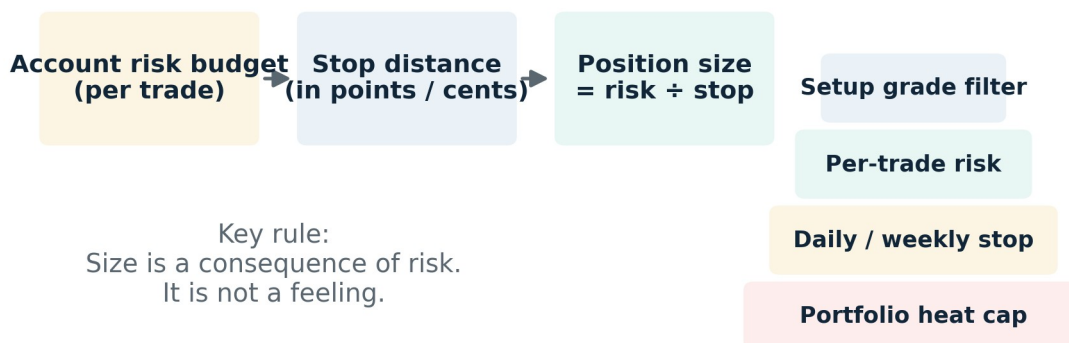
Expert lens

- Execution quality becomes a real edge at scale: queue position, spread elasticity, partial fills, and implementation shortfall matter.
- Different products and times of day call for different aggression levels. The optimal order type depends on urgency, liquidity, and how quickly the signal decays.
- Model event-driven slippage and reduce size where the edge cannot outrun transaction costs.
- Treat “could not execute as planned” as valuable data. It may reveal a capacity ceiling or a false assumption about liquidity.
- Build explicit do-not-execute conditions for tapes that are too wide, too fast, too thin, or too noisy for your method.

7. Risk, stops, and position sizing

TL;DR The purpose of position sizing is survival and repeatability. A bad trade should be a lesson, not a catastrophe.

Risk Stack & Position Sizing Logic



Risk flows from budget to stop to size. Size should follow math, not mood.

Beginner lens

- Risk only what you can genuinely afford to lose. The point of early-stage trading is to stay in the game long enough to learn.
- Use a fixed small dollar risk or a very small percentage risk while you are still stabilizing execution. Many new traders improve faster at 0.25%–0.50% risk or smaller rather than 1%–2% risk.
- Position size = maximum dollar risk ÷ stop distance (adjusted for contract or share value).
- Never widen the stop simply because the trade is going against you. A wider stop means a different trade, not a stronger trade.
- Use a daily max-loss rule. One bad day should not erase weeks of disciplined work.

Intermediate lens

- Add account-level guardrails: maximum open risk, daily stop, weekly stop, and correlated exposure limits.
- Standardize results in R so that you can compare ideas fairly regardless of product or size.
- If you vary size by grade, start with small differences and a hard cap. The scorecard must earn the right to influence size.
- Use ATR, average range, or structural distance to avoid pretending a tight stop is safe when the market regularly breathes wider than that.
- Define how size changes after drawdown: many traders benefit from automatic size reduction after a string of losses.

Expert lens

- Manage portfolio heat, not just single-trade risk. Three correlated positions can create one oversized idea.
- Size by volatility, liquidity, and implementation cost, not just by belief in the setup.
- Drawdown-aware frameworks, volatility targeting, or fractional Kelly can be useful only when hard limits remain in place.
- Stress-test the system with losing streaks and Monte Carlo style thinking: your strategy must survive its own worst realistic sequence.
- Capital preservation is not defensive thinking; it is the condition that allows edge to compound.

Illustrative desk-style guardrails

Guardrail	Practical purpose
Per-trade risk	Small fixed risk while learning; never exceed the amount your review process can emotionally and statistically absorb
Daily stop	Stop trading after a predefined drawdown or when execution discipline clearly breaks
Weekly stop	Reduce size or pause research-to-live deployment when the week is statistically or behaviorally unstable
Max correlated risk	Cap the amount of open risk tied to one theme, sector, catalyst, or directional bet
Size-down protocol	Reduce size automatically after a losing streak, a process-score drop, or a drawdown threshold

Leveraged products deserve special respect: futures and similar products can lose more than the initial margin deposit, and only risk capital should be used for such trading.³⁴

8. Trade management and exits

TL;DR Many traders sabotage good entries with random exits. Management should be rule-based enough that you can review it honestly later.

Beginner lens

- Pick one or two management models only: fixed target, scale-out plus runner, or structure trail. Too many management styles create noise.
- Know the initial stop and first target before you enter. If you cannot say where the thesis is wrong, you are not ready to trade it.
- Avoid “death by micro-management.” A small fluctuation against you is not a reason to abandon a good plan.
- Do not turn a stop into an investment thesis. If invalidated, get out and review later.
- If a setup requires fast discretionary juggling you cannot yet perform, reduce size or downgrade the setup.

Intermediate lens

- Match the exit model to the setup family. Breakouts, pullback continuations, mean-reversion ideas, and event trades often need different exit logic.
- Track maximum favorable excursion (MFE) and maximum adverse excursion (MAE) so your exit rules can evolve from evidence rather than memory.
- Use time stops when momentum or follow-through fails to arrive within the expected window.
- Document when and why you move a stop: structure improvement, partial taken, volatility contraction, or event risk — not emotion.
- If you add to winners, define that behavior as a separate rule set with its own trigger, size cap, and invalidation logic.

Expert lens

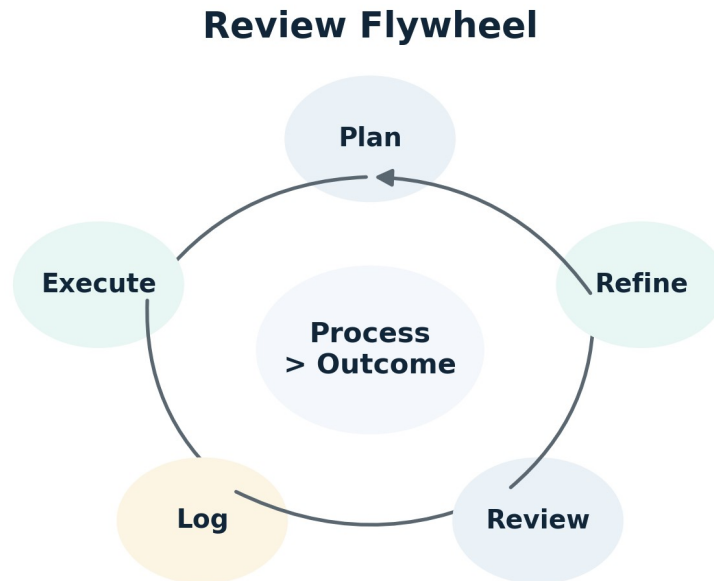
- Condition exit style on liquidity and volatility. Sometimes the best exit is aggressive because the opportunity decays quickly; sometimes passive scaling preserves edge.
- Reduce or flatten into catalysts unless “holding the event” is an explicit and validated part of the playbook.
- Review exit efficiency as its own skill. Many traders select well but leak edge through poor management.
- Treat management as an optimization problem inside constraints, not as an improvisation contest.
- At scale, the ability to reduce inventory gracefully can matter as much as the ability to enter well.

A useful management test

- Would another trader looking at your chart know why you exited or moved the stop?
- Did the market invalidate the thesis, or did your P&L panel invalidate your patience?
- Did your management improve expectancy over a sample, or only make a few winners feel emotionally better?

9. Journaling, metrics, and performance review

TL;DR If you do not measure it, you cannot trust it. Journaling turns trading from a mood-driven activity into an evidence-driven process.



The review loop is where a trading process compounds.

Beginner lens

- Capture a screenshot before entry and after exit. Visual review speeds up pattern recognition far more than memory alone.
- Record the setup family, grade, thesis, stop, target, size, result in R, and any obvious mistake tag.
- Review weekly, not only emotionally after losses.
- Keep the journal simple enough that you actually fill it in every day.
- Build a folder of “do again” trades and “never again” trades.

Intermediate lens

- Track expectancy, win rate, average win, average loss, profit factor, hold time, slippage, time-of-day performance, and setup-grade performance.
- Separate idea error, execution error, management error, and psychology error. They do not respond to the same fix.
- Do not change a system on a whim. Review 20–50 trade samples at minimum before concluding the market or method has changed.
- Tag regime, catalyst, and instrument type so you can see where the edge truly resides.
- Build a review ritual: screenshot study, metric check, notes to repeat, notes to stop.

Expert lens

- Use rolling windows, version control, and deployment notes so you can see whether a playbook is improving, drifting, or decaying.
- Compare observed live expectancy with replay/backtest expectancy after accounting for costs and execution frictions.
- Use control-chart thinking for process quality: edge decay often announces itself as subtle instability before total failure.
- Convert recurring journal themes into a formal research queue rather than making impulsive strategy edits.
- Review both the portfolio and the trader: product mix, correlation, workload, focus, and energy management all influence output.

Suggested journal fields

Category	Fields to capture
Trade metadata	Date, time, instrument, direction, setup family, grade, regime
Plan	Entry thesis, trigger, stop, target, expected hold time, catalyst / event context
Execution	Actual entry price, slippage, order type, size, risk in R or dollars
Outcome	Exit price, result in R, MFE, MAE, hold time, notes on management
Review tags	Idea error, execution error, management error, psychology error, repeat / stop

10. Psychology, discipline, and routines

TL;DR Psychology is not motivational decoration. It is the operational reality of following rules under uncertainty, drawdown, boredom, and heat.

Beginner lens

- Use a basic daily routine: pre-market plan, live execution checklist, post-market review.
- Limit trade count if overtrading is a recurring pattern. Friction is often helpful.
- Respect the daily stop even when you feel “one more trade” could fix the day.
- Do not confuse activity with progress. Sitting out a bad tape is a skill.
- Sleep, stress, and environment matter. A disorganized workspace often produces disorganized decisions.

Intermediate lens

- Map recurring emotional triggers: FOMO, revenge, boredom, fear of giving back, overconfidence after wins, hesitation after losses.
- Create reset routines: stand up, breathe, reduce size, reread the plan, or stop for a defined cooldown window.
- Track a process score in addition to P&L. Some of your best trading days will be small green or even small red days with excellent rule-following.
- Protect mental capital after drawdowns. Size reduction is not weakness; it is a professional adaptation.
- Notice whether you are trading to execute an edge or to repair a feeling.

Expert lens

- Expert psychology is often quiet and procedural. It shows up as stable routines, clean recovery after losses, and restraint after wins.
- Maintain meta-awareness: can you recognize when cognitive load, fatigue, or time pressure is warping decision quality in real time?
- Use decision journals to study recurring bias patterns and process drift.
- Calibrate aggression based on evidence, not identity. The market does not reward self-image; it rewards disciplined adaptation.
- Professional traders manage energy, calendar, sleep, and review cadence as part of edge maintenance.

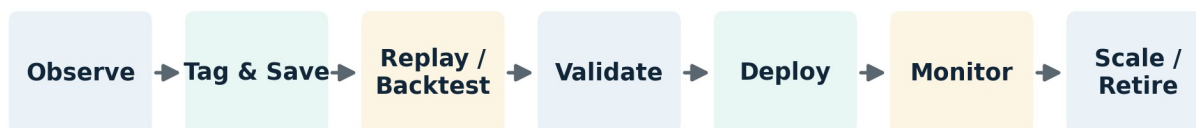
Common trigger → countermeasure map

Trigger	Countermeasure
FOMO after missed move	Require a fresh level and a new trigger; otherwise pass
Revenge after loss	Mandatory cooldown or stop for the session after a rule-breaking loss
Overconfidence after hot streak	Keep size stable until the review data, not emotion, justifies change
Hesitation after drawdown	Shrink size, trade only A setups, and focus on clean repetition
Boredom trading	Predefine dead zones or maximum trades during low-quality tape

11. Research, playbooks, and scaling to expert level

TL;DR A playbook is a repeatable pattern with clear context, trigger, risk, management, and review rules. Research is how you earn the right to trust it.

A playbook is a living research asset, not a static idea.



Treat playbooks like living research assets.

Beginner lens

- Save screenshots of the same setup over and over until the pattern becomes obvious.
- Replay or simulate rather than rushing to live size.
- Write one simple playbook card: context, trigger, stop, target, pass conditions, and a few chart examples.
- Avoid strategy shopping. Repetition on one validated pattern teaches more than browsing a hundred concepts.

Intermediate lens

- Backtest or manually replay enough examples to understand the distribution, not just a handful of good outcomes.
- Use out-of-sample thinking: validate the idea on data or charts that were not used to invent it.
- Build explicit pass conditions. Knowing when not to trade is part of the edge.
- Split the setup into variants only after the core version is stable and documented.
- Tag where the setup fails. Negative examples are part of the playbook.

Expert lens

- Maintain a research pipeline: observe, tag, test, validate, deploy, monitor, scale, or retire.
- Allocate capital across playbooks by robustness, capacity, and regime fit rather than by excitement.
- Distinguish between a discretionary craft edge and a statistically demonstrable edge; both can exist, but they must still be audited.
- Model live execution costs, liquidity ceilings, and fatigue load when scaling size or adding products.
- Prune decaying playbooks quickly. Expert trading is often more about subtraction than addition.

Example playbook card (schematic)

Field	Example
Playbook name	Trend pullback continuation
Best environment	Clear intraday or multi-day trend; pullback into prior support, VWAP, or moving average; acceptable liquidity
Trigger	Price holds the level and reclaims the prior trigger candle high
Invalidation	Below the pullback low or below the level that defines the setup
Target logic	Prior high, measured move, or 2R+ depending on volatility and room
Pass conditions	Late chase, major news immediately ahead, wide spread, midday chop, weak context

12. Training roadmaps and graduation gates

TL;DR Progression should be earned by process consistency and data quality, not by impatience.

Suggested 12-week beginner roadmap

Window	Primary objective
Weeks 1–2	Market vocabulary, order types, session structure, chart basics, and one liquid instrument or small universe
Weeks 3–4	Learn one setup family and define clear entry, stop, target, and pass conditions
Weeks 5–6	Practice risk formula, simulate execution, and begin daily screenshots / journaling
Weeks 7–8	Collect at least 20–30 sample trades, review rule adherence, and identify recurring mistakes
Weeks 9–10	Refine the rubric into A / B / C quality levels and trade only A-level examples in simulation or micro size
Weeks 11–12	Create a written playbook card and a repeatable pre-market / post-market routine

Suggested 90-day intermediate roadmap

Window	Primary objective
Month 1	Tag regime, time of day, and setup grade on every trade; compute baseline expectancy and mistake frequency
Month 2	Tighten pass conditions, compare A vs B trade results, and refine one management model per setup
Month 3	Introduce cautious size nuance only if data clearly supports it; build weekly and monthly review dashboards

Graduation gates

Gate	What should be true before you move up
Beginner → Intermediate	Can explain order types, calculate position size from stop distance, keep a complete journal, and execute one playbook with high rule adherence
Intermediate → Expert	Has enough sample data to understand conditional edge, uses structured review, and manages risk across multiple conditions or products without process drift

Note: A useful rule: only increase size after the process is stable at the current size. If behavior gets worse as size rises, the edge is not yet scalable.

13. Templates, glossary, and selected references

Daily prep checklist template

Checklist item	What to write
Regime	Trend / range / chop; volatility contraction or expansion
Levels	Prior day high/low, major support/resistance, opening range, VWAP, or equivalent
Catalysts	Scheduled news, earnings, economic releases, or known event risk
Playbooks allowed today	Which setups are eligible in this tape? Which are banned?
Risk limits	Per-trade risk, daily stop, max open risk, max correlated risk
State check	Energy, focus, emotional neutrality, and reasons not to trade

Mini glossary

Term	Meaning
R	A standardized unit of risk based on your initial stop distance
Expectancy	Average amount you expect to make or lose per trade over a sample
MAE / MFE	Maximum adverse excursion / maximum favorable excursion
Regime	The current environment defined by trend, volatility, liquidity, and catalyst context
Confluence	Multiple independent reasons supporting the same trade idea
Adverse selection	Getting filled just before the market moves against you because the other side had better information or timing
Portfolio heat	The total open risk across all positions, especially correlated ones

Selected references and further reading

1. U.S. SEC / Investor.gov — “Understanding Order Types” and “Types of Orders.” Useful for market, limit, and stop order mechanics. <https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins-14> and <https://www.investor.gov/introduction-investing/investing-basics/how-stock-markets-work/types-orders>
2. FINRA — “Stop Orders: Factors to Consider During Volatile Markets.” Helpful for stop and stop-limit order behavior. <https://www.finra.org/investors/insights/stop-orders-factors-consider-during-volatile-markets>
3. CFTC — “Understand Your Contractual Obligations.” Notes that leveraged transactions can produce losses beyond the initial margin deposit. <https://www.cftc.gov/LearnAndProtect/AdvisoriesAndArticles/understandcontractobligations.html>
4. NFA — “Investor Best Practices.” Emphasizes that futures trading is highly risky and should be funded only with risk capital. <https://www.nfa.futures.org/investors/investor-resources/files/investor-best-practices.html>
5. OCC — “Characteristics and Risks of Standardized Options” (Options Disclosure Document). <https://www.theocc.com/company-information/documents-and-archives/options-disclosure-document>
6. Options Industry Council / OptionsEducation.org — “Options Assignment” and “What is Assignment?” Helpful for short-option assignment risk. <https://www.optionseducation.org/referencelibrary/faq/options-assignment> and <https://www.optionseducation.org/news/what-is-assignment>
7. Supplemental education: “Only Make a Trade If It Passes This 5-Step Test” (Investopedia, updated 2025) and additional trade-grading / journaling articles can be useful for turning the framework into checklists and review routines.

Final thought

Most traders try to solve trading by finding better entries. Strong traders solve it by improving the full loop: better context, better grading, cleaner risk, cleaner execution, and more honest review. That is how beginner skill turns into intermediate consistency — and how consistency becomes expert-level process.